

Investment Credit Memorandum

Palisades CLO 2023-2 | Summit Logistics Corp. | 20 October 2023

1. Recommendation

Credit committee is asked to approve a \$6,100,000 allocation of the Summit Logistics Corp. first-lien term loan into the Palisades CLO 2023-2 warehouse, and to roll that position into the CLO at closing. The borrower is Summit Logistics Corp., headquartered in Atlanta. The financial sponsor is Trailhead Equity. Analyst: Leah Brooks. Committee chair: Peter Groves. Portfolio manager: Sofia Almeida, Dunhill Credit Partners LP.

Recommendation: Approve at a maximum par of \$6,100,000 (1.74% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Palisades CLO 2023-2 indenture. Moody's corporate family rating is B1. S&P issuer credit rating is B+. The loan is US dollar denominated and is eligible collateral under the term sheet dated 2 November 2023.

2. Borrower and sponsor

Summit Logistics Corp. operates in Transportation. The company is owned by Trailhead Equity. Neither the sponsor nor the borrower is affiliated with Dunhill Credit Partners LP.

Related book names in Palisades CLO 2023-2 include Cinder Hotel Group, Arcadia Labs, Inc.. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Summit Logistics Corp. first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Hudson Warehouse Bank is the warehouse lender to Palisades CLO 2023-2.

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4. Credit highlights and risks

Highlights: sponsor support from Trailhead Equity, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicalities in Transportation and add-on acquisition risk. Leah Brooks confirmed that Moody's industry classification for Summit Logistics Corp. is 'Transportation'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B1. It uses 1.74 of the 2.00 percentage-point largest-obligor covenant. Sofia Almeida confirmed the trade for Palisades CLO 2023-2.

If Summit Logistics Corp. is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Palisades CLO 2023-2 indenture. Harbor Trust Company, N.A. would reflect that classification on the next monthly trustee report. Dunhill Credit Partners LP would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Dunhill Credit Partners LP approved the \$6,100,000 purchase for the Palisades CLO 2023-2 warehouse on 20 October 2023. Voting members: Peter Groves (chair), Sofia Almeida, and Leah Brooks. The trade will settle into the Hudson Warehouse Bank warehouse and be conveyed to Palisades CLO 2023-2, Ltd. on the closing date of 16 November 2023.